Summing up

States are generally able to intervene in society in three ways. Coercive power can be used to modify the behaviour of private persons, which constitutes *regulation*. States can *produce* certain services. Finally, states can *finance* the purchase of certain services by private persons from private producers.

The organization design required for each of these three pillars is quite different. A funding organization is very different from a regulating organization, which, in turn, is very different from a producing organization.

State *production* creates incentives for light regulation of public sector production, an attempt at monopolizing public resourcing for only public production, and attempts at utilizing the regulatory power to create entry barriers that impede private production. Where possible, it is better to operate regulatory and financing pillars and not a production pillar.